

Class 8 History Chapter 2: From Trade to Territory

1. The End of the Mughal Empire & Arrival of the Company

- **Aurangzeb's Death (1707):** After the death of the last powerful Mughal ruler, Aurangzeb, many Mughal governors (*subadars*) and big zamindars began asserting their independence and establishing regional kingdoms.
- **East India Company Comes East (1600):** The English East India Company acquired a royal charter from Queen Elizabeth I, granting it the sole right to trade with the East. They operated as a *mercantile* trading company (making a profit by buying cheap and selling dear).
- **Fierce Competition:** By the time the British reached India, the Portuguese (who had their base in Goa), the Dutch, and the French were already there. The fierce competition to buy fine cotton, silk, pepper, cloves, and cardamom drove up prices and reduced the profits for all companies, eventually leading to fierce battles and rivalries between them.

2. Trade Leads to Battles & The Battle of Plassey

- **First English Factory (1651):** Established on the banks of the river Hugli. By 1696, the Company began building a fort around the settlement and bribed Mughal officials to give them *zamindari* rights over three villages (one of which became Calcutta).
- **The Royal Farman:** The Company persuaded Emperor Aurangzeb to issue a *farman* granting them the right to trade duty-free. However, Company officials misused this for their private trade, causing huge revenue losses for Bengal.
- **The Battle of Plassey (1757):** * When Sirajuddaulah became the Nawab of Bengal, he ordered the Company to pay taxes and stop building forts. When they refused, he marched with his soldiers and captured the English factory at Kassimbazar.
 - In response, the Company sent forces under **Robert Clive**. Clive cleverly bribed Sirajuddaulah's commander, **Mir Jafar**, promising to make him the next Nawab.
 - Because of Mir Jafar's betrayal, Sirajuddaulah was defeated and assassinated. This was the first major victory for the Company in India.

3. The Battle of Buxar & Diwani Rights

- **Battle of Buxar (1764):** The Company installed Mir Jafar as a puppet Nawab, and later his son-in-law, Mir Qasim. However, when Mir Qasim tried to assert his independence and complained about the Company's trade practices, he was defeated in the Battle of Buxar.
- **The Diwani (1765):** The Mughal Emperor finally appointed the East India Company as the *Diwan* of the Bengal provinces. This allowed the Company to use the vast revenue resources of Bengal to finance its trade, build its forts, and maintain its troops.

- **"Nabobs":** Many Company officials (like Robert Clive) amassed massive wealth in India and returned to Britain to live flashy lives. They were mockingly called "Nabobs" (an English version of the word Nawab).

4. Company Rule Expands Instead of launching direct military attacks, the Company used political, economic, and diplomatic methods to annex Indian states:

- **Subsidiary Alliance:** Indian rulers were not allowed to have their own independent armed forces. They were to be protected by the Company but had to pay for this "subsidiary force." If they failed to pay, part of their territory was taken away (e.g., Awadh and Hyderabad).
- **Tipu Sultan (Tiger of Mysore):** Mysore controlled the profitable trade of the Malabar coast. In 1785, Tipu Sultan stopped the export of sandalwood, pepper, and cardamom to the Company. The British fought four wars with Mysore, finally defeating Tipu Sultan at the Battle of Seringapatam (1799).
- **War with the Marathas:** The Marathas were weakened after losing the Third Battle of Panipat (1761). The British fought a series of wars with them, eventually crushing Maratha power and exiling the Peshwa to Bithur (near Kanpur) with a pension.
- **Claim to Paramountcy & Doctrine of Lapse:** * Under Lord Hastings, the Company claimed its power was greater than Indian states. (Rani Channamma of Kitoor famously fought against this but was imprisoned).
 - Lord Dalhousie introduced the **Doctrine of Lapse:** if an Indian ruler died without a male heir, his kingdom would "lapse" and become Company territory (this was used to annex Satara, Sambalpur, Udaipur, Nagpur, and Jhansi).

5. Setting up a New Administration & Army

- **Administration:** The British territories were broadly divided into administrative units called Presidencies (Bengal, Madras, and Bombay), each ruled by a Governor. The supreme head was the Governor-General.
- **Justice System (1772):** A new system of justice was established. Each district had two courts: a criminal court (*Faujdari Adalat*) and a civil court (*Diwani Adalat*). The Regulating Act of 1773 established a new Supreme Court.
- **The Collector:** The most important figure in an Indian district became the Collector, whose main job was to collect revenue and maintain law and order with the help of judges and police officers.
- **The Company Army:** The Company shifted away from traditional cavalry (soldiers on horseback) and focused on recruiting and heavily training *infantry* (foot soldiers). These "Sepoys" were armed with muskets and matchlocks and were subjected to strict European-style discipline.